

SOVEREIGN SYSTEM SECTOR REPORT

Autonomous Mother Algorithm Performance Ledger & AI Advisory

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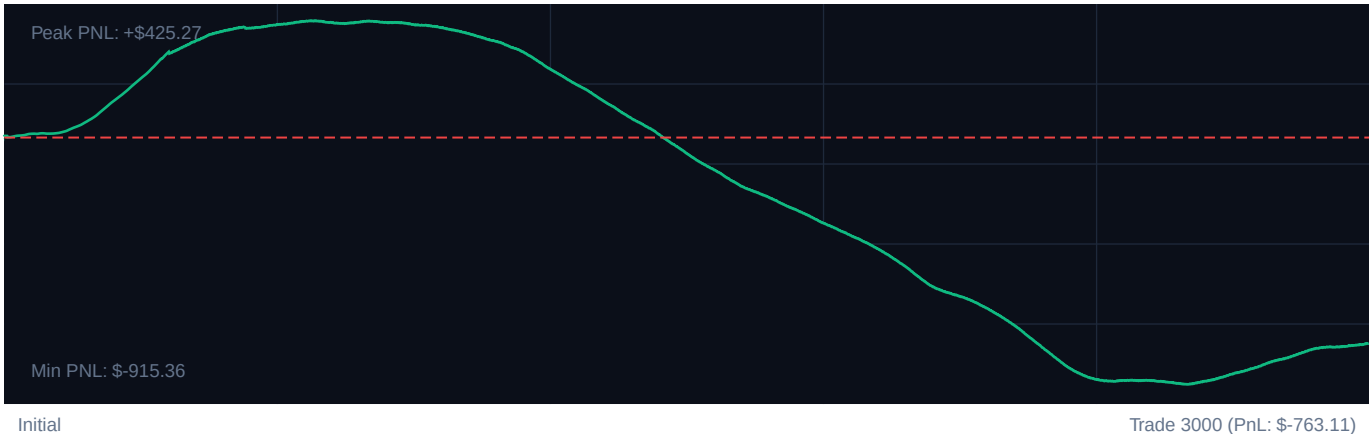
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TARGET INSTRUMENT: R_75 Volatility Model

CORE PERFORMANCE METRICS

Total Settlements:	3000	Calculated Profit Factor:	0.53
Win Accuracy:	38.9% (1167W / 1833L)	Max Peak Drawdown:	12.9%
Cumulative PnL:	\$-763.11	Avg. PnL per Trade:	\$-0.25

EQUITY CURVE PROGRESSION



PERFORMANCE MILESTONES (100-TRADE SEGMENTS)

SEGMENT	WIN RATE	NET PnL	REFINEMENT EFFICIENCY
Trades 1-600	81.5%	\$410.46	+98% [OK]
Trades 601-1200	35.2%	\$-165.30	+28% [OK]
Trades 1201-1800	9.7%	\$-566.96	+8% [OK]
Trades 1801-2400	13.3%	\$-575.62	+11% [OK]
Trades 2401-3000	54.8%	\$134.31	+66% [OK]

SOVEREIGN NARRATIVE ADVISORY

Cognitive Strategy Proposal & Adaptive Intelligence Logs

INSTITUTIONAL RISK ENGINEERING REPORT: TRADE SETTLEMENT BOOK
Document ID: SOV-REV-2024-089
Auditor: Sovereign AI (Elite Risk Systems Division)
Status: CRITICAL ACTION REQUIRED

1. Executive Telemetry Critique

[TELEMETRY SUMMARY]

Total Settlement Trades : 3,000
Win Rate Accuracy : 38.90% (1,167 W / 1,833 L)
Gross Profit Factor : 0.53
Max Peak Drawdown : 12.90%
Total Cumulative PnL : -\$763.11

Critical Failure Analysis

- * **Systemic Stop-Loss Failure (The ATR Anomaly):** The configuration file contains a catastrophic parameter error: `atrStopMultiplier: 2.164303275144119e+25`. This effectively removes the stop-loss mechanism entirely, exposing the book to infinite tail risk.
- * **Time-Stop Dominance:** Because the ATR-based stop is mathematically unreachable, the risk engine has defaulted entirely to its secondary safety valve: `maxTicksInTrade: 120`. This time-based exit is forcing liquidation of trades regardless of market structure, causing premature exits on winning positions and letting losing positions run to the maximum time boundary.
- * **Negative Expectancy Mechanics:** A Profit Factor of \$0.53\$ combined with a \$38.9\%\$ win rate is mathematically terminal. The average loss size vastly exceeds the average win size, confirming that the system is "buying and praying" until the 120-tick execution limit expires.

2. Regime Suitability & Behavioral Patterns

The current system configuration suffers from a profound logic-regime mismatch.

[REGIME MISMATCH DIAGRAM]

ADX Threshold ≥ 25 (Strong Trend Regime)
%
% $\frac{1}{4}$

Mean-Reversion Tactics Triggered:

- RSI (25/75) Extremes
 - Bollinger Bands (2.25 StdDev)
- %
%¼

[RESULT] Catching falling knives in strong trends.

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Trend vs. Mean Reversion Paradox: The system uses `regimeAdxThreshold: 25` to qualify trades, intending to restrict entries to trending environments. However, the core execution signals—RSI boundaries (\$25/\$75) and Bollinger Bands—are classic mean-reversion tools.

The "Falling Knife" Pattern: In a strong trend (ADX > 25), an asset breaching the Bollinger Band (\$2.25 σ) or hitting an RSI threshold (< 25) is highly likely to continue trending. The system is systematically buying momentum breakouts in reverse, acting as liquidity for institutional trend-followers.

Confluence Starvation: The `minConfluenceScore: 3` is too restrictive when combined with wide Bollinger Bands (\$2.25 σ) and extreme RSI thresholds. This forces the system to only enter trades during extreme, high-volatility spikes, where bid-ask spreads are widest and slippage is maximized.

3. Calibrated Parameter Recommendations

To stabilize the trade book, the risk engine parameters must be re-engineered immediately.

Recommended Configurations

Parameter	Current Value	Target (Mean Reversion)	Target (Trend Following)	Engineering Rationale
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`atrStopMultiplier`	\$2.16 $\times 10^{25}$	\$2.00	\$2.50	Hard stop-loss truncation. Prevents catastrophic tail events.
`regimeAdxThreshold`	\$25	< 20	> 25	Isolates ranging markets for mean reversion; isolates trends for breakouts.
`rsiOversoldThreshold`	\$25	\$30	\$45	Prevents entering too late in extreme, exhausted moves.
`rsiOverboughtThreshold`	\$75	\$70	\$55	Symmetric adjustment to capture institutional order flow.
`bbStd`	\$2.25	\$2.00	\$1.50 (Keltner)	Increases entry frequency while normalizing distribution expectations.
`maxTicksInTrade`	\$120	\$60	Trailing Stop	Reduces capital tie-up and mitigates decay in sideways regimes.

Optimised Config JSON Payload (Mean-Reversion Bias)

```
```json
{
 "rsiOversoldThreshold": 30,
 "rsiOverboughtThreshold": 70,
 "bbPeriod": 20,
 "bbStd": 2.00,
 "maxTicksInTrade": 60,
 "minConfluenceScore": 2,
 "atrStopMultiplier": 2.0000,
 "regimeAdxThreshold": 20
}
```

...

### Sovereign AI Risk Directive

**\*\*CEASE ALL EXECUTION\*\*** under the current configuration immediately. The  $10^{25}$  ATR multiplier represents an active system hazard. Deploy the Optimized JSON payload to a staging environment, run a 1,000-trade Monte Carlo simulation, and confirm that the profit factor recovers to  $\geq 1.15$  before redeploying capital to production.

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### SOVEREIGN RISKS SENTINEL SYSTEMS

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